



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Christos Kyriakides

Of

507E/11 Flockhart Street

ABBOTSFORD VIC 3126

Mobile: 0415-417-003

Email: Christos.kyriakides@gmail.com

Prepared on:

9th November 2015

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

Lakeside Financial

Level 1, 99 Bay Street

Brighton VIC 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

Email: andrew.lord@lakesidefinancial.com.au

Authorised Representative # 324798

Pareto Group Pty Ltd

ABN 11 155 278 078 Australian Financial Services Licensee No. 418700

1/99 Bay Street, Brighton, Vic, 3186

Ph: 03 9596 5111 Fax: 03 9596 3222

What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance

9/11/2015

Christos Kyriakides
507E/11 Flockhart Street
ABBOTSFORD VIC 3126

Dear Christos,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

Table of Contents

STATEMENT OF ADVICE.....	1
Financial Planning Strategy	1
Purpose of this document.....	4
Product selection	5
Introduction	6
The Scope of Our Advice	6
Our Investment Recommendations.....	6
Your Adviser	7
The Planning Process	7
Executive Summary	8
Your Goals and Objectives	8
Personal Information.....	9
Personal Details	9
Overview – Current Situation	10
Current Assets and Liabilities.....	10
Your Investor Risk Profile	11
Strategy Recommendation.....	12
Tax Rates	12
Tax rates 2015-16.....	12
Tax on superannuation earnings, contributions and income streams	13
Superannuation Contribution Limits	14
Superannuation Funds	15
Current Superannuation Structure	16
Current and Proposed Portfolio Historical Performance.....	17
<i>Current Superannuation Portfolio Profile Compared to Benchmark</i>	<i>17</i>
<i>Proposed Total Superannuation Portfolio Profile Compared to Benchmark</i>	<i>18</i>
Self-Managed Superannuation Fund (SMSF) Vs Master Trust	21
<i>Self-Managed Superannuation Funds – Key Considerations</i>	<i>23</i>
JB Hi-Fi Shares	26
Wealth Accumulation	30
Property Planning	31
Retirement Planning	33
Future Strategy - Borrowing in a Self-Managed Superannuation Fund (SMSF)	34
How borrowing may work in a SMSF – Potential Strategy	36
Personal Insurances.....	38
Estate Planning	39
Wills and Testamentary Trusts	39
Non Estate Assets.....	40
What is paid to your adviser	42
Upfront and Ongoing Fee Disclosure	42
Disclosure Statement	43
Summary	45
Authority to Proceed	46
Appendix – Property Projections	48

Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, and any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Wealth creation strategies
- Superannuation
- Cash flow management
- Tax effective investing
- Retirement Planning
- Personal Insurances

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14 day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Christos, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Sell the JB Hi-Fi shares that are jointly owned by your mother, your brother and yourself
 - Invest these funds into a combined investment with your brother. The aim of such an investment is to achieve long term capital growth whilst generating some level of passive income.
- Minimise your tax commitments.
- Direct surplus cash flow to wealth accumulation.
- Focus on wealth accumulation strategies that will help you achieve your capital requirements and lifestyle goals.
- Invest in a tax effective investment portfolio that has a focus on growth over the long term, whilst retaining a reasonable level of capital security.
- Achieve sufficient cash flow to meet your living requirements.
- Ensure you have appropriate personal insurances in place.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr
First Name	Christos
Surname	Kyriakides
Gender	M
Date of Birth	29/11/1982
Age Last Birthday	32
Marital Status	Single
Health Details	
Health Status	Good
Smoking Status	No
Employment Details	
Employment Status	Full Time Employee
Occupation	Special Projects
Employer	Concrete Protection & Repair Services

Estate Planning

Christos	
Do you have a Current Will?	No
Do you have Current Powers of Attorney?	No
Do you have a Testamentary Trust?	No

Overview – Current Situation

Christos, you are in the process of finalising the transfer of your mother's NSW property (valued at approximately \$1.2m) to yourself and Dimitri (your brother). The end result of this transaction is the following:

- you will own 20% of this property
- Dimitri will own the remaining 80%. He will also live in the property and service the \$240k debt against this property.
- you will also receive \$160k, of which \$30k will be paid to you directly and the remaining \$100k must be used as a deposit on a property.
- you will use \$30k to extinguish your personal loan.
- the remaining \$30k will be held for a period of 2 years before being forwarded to you.
- the 6,451 JB Hi-Fi shares are owned jointly with your brother and mother, however upon sale, the proceeds are to be shared between your brother and yourself.

The assets and liabilities table below reflects your situation after this has taken place.

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Investment Assets	
JB Hi-Fi Shares (1/2 share)	\$58,575
• total of 6,451 shares @ \$18.16 = \$117,150	
NSW property (20% share)	\$240,000
• estimated value of \$1.2m	
Bank Account	\$17,000
Funds to be used for deposit on property purchase	\$100,000
Total Investment Assets	\$415,575

Superannuation Assets	
Christos	
Colonial First State Employer Superannuation	\$61,315
Total Superannuation Assets	\$61,315

Total ASSETS	\$476,890
---------------------	------------------

LIABILITIES

HECS Debt	\$24,000
Total Liabilities	\$24,000

NET WORTH	\$452,890
------------------	------------------

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that you can be classified as a Growth investor in regard to your investments.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Property	17%
Fixed Interest	13%
Cash	2%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property).

By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth.

If you feel the above investor profile does not reflect your attitude as an investor, or the recommended portfolio contained in this report is too aggressive or conservative, please let me know so I may adjust my recommendations accordingly.

Our recommendation has been made given your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2015-16

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$37,000	19c for each \$1 over \$18,200
\$37,001 – \$80,000	\$3,572 plus 32.5c for each \$1 over \$37,000
\$80,001 – \$180,000	\$17,547 plus 37c for each \$1 over \$80,000
\$180,001 and over	\$54,547 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation phase	Super pension phase	
			Age 55-59	After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Marginal tax rate (less 15% rebate) + medicare	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free	Tax free
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free	Tax free

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

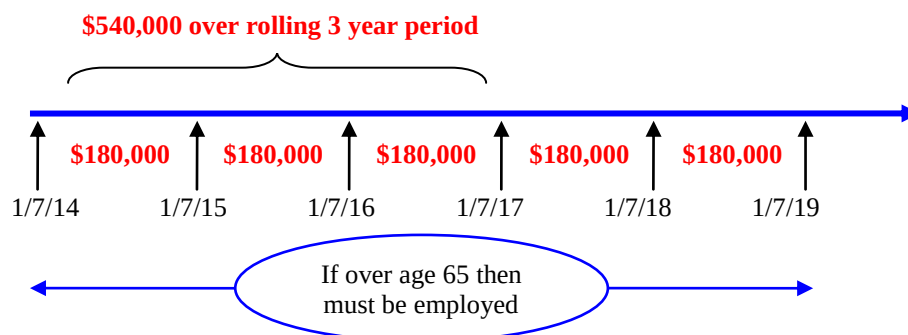
Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only

*Must be employed at least 40 hours during any consecutive 30 day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed*	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed*	Cannot contribute



Superannuation Funds

Christos, you currently have the following superannuation fund:

Colonial First State Employer Superannuation Fund – Account Number 0650 1630 1782

- The fund currently has a withdrawal value of \$61,315.

Note: Your funds are invested as follows:

- FirstChoice Growth 76%
- FirstChoice Lifestage 1980-84 24%

Recommendations:

Christos

Option 1

- Maintain your current Colonial First State Employer Superannuation Fund.

Benefits:

- There are no significant benefits to maintaining the existing fund.

Option 2

- Rollover your existing Colonial First State Employer Superannuation Fund to the recommended superannuation fund platform.
- The portfolio is to be invested according to a sector specific asset allocation that is in line with your investor risk profile.

Recommendation:

- Christos, rollover the entire balance of your Colonial First State Employer superannuation fund into the recommended wholesale platform invested in a “Growth” portfolio.
- **The funds are not to be rolled over until sufficient replacement insurances are in place.**
- All future contributions will be directed into the recommended fund.

Benefits:

- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to an anti-detriment payment. This is where the contributions tax you pay on monies contributed may be refunded on the death of a member.
- You will have access to a wide range of investment options with access to more than one specialist manager within each asset class.
- The recommended fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- Your benefits will be invested within a range of assets and asset classes giving you a well-diversified investment portfolio that aims to generate higher levels of growth over the longer term 7+ years.
- You will gain ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.
- Lakeside Financial can arrange for your life insurance premiums to be deducted from your superannuation account, which is a more tax effective way of paying them.

Current Superannuation Structure

Christos, the current asset allocation of your Colonial First State Employer fund is as follows:

Asset Class	% of Portfolio
Australian Shares	35.14%
International Shares	34.22%
Property	16.44%
Fixed Interest	10.16%
Cash	2.24%
Other	1.80%
	100%

Current and Proposed Portfolio Historical Performance

Current Colonial First State Employer fund at 30/09/2015

	3 months	1 year	2 years
Colonial First State Employer fund	-3.43%	3.71%	6.32%

Proposed Colonial First State Growth Portfolio at 30/09/2015

Colonial Fund				
	% of portfolio	3 months	1 year	2 years
BT Wholesale Core Australian Share	11.00%	-4.62%	4.09%	5.15%
Fidelity Wholesale Australian Equities	11.00%	-3.96%	3.34%	5.71%
Perennial Wholesale Value Australian Share	11.00%	-7.58%	0.38%	4.22%
CFS Wholesale Small Companies - Core	10.00%	-0.52%	6.67%	9.16%
BT Core Wholesale Global Share Fund	9.00%	1.47%	18.22%	18.58%
Platinum Wholesale International	8.00%	-1.39%	12.68%	12.93%
MFS Wholesale Global Equity	8.00%	1.15%	19.14%	16.76%
BT Wholesale Property Investment	5.00%	1.37%	16.89%	13.69%
CFS WS Global Listed Infrastructure	6.00%	-1.25%	7.33%	12.29%
CFS WS Global Property Securities	6.00%	-0.25%	13.95%	13.60%
Firstchoice Wholesale Fixed Interest	13.00%	1.45%	4.66%	5.47%
CFS Wholesale Cash	2.00%	0.40%	2.00%	2.11%
	100.00%	-1.54%	8.48%	9.61%

Current Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	35.14%	43%	-7.86%
International Shares	34.22%	25%	+9.22%
Property	16.44%	17%	-0.56%
Fixed Interest	10.16%	13%	-2.84%
Cash	2.24%	2%	+0.24%
Other	1.80%	0%	+1.80%

Proposed Total Superannuation Portfolio Profile Compared to Benchmark

Asset Class	Projected Portfolio	Benchmark Profile for Growth	Deviation
Australian Shares	43%	43%	0%
International Shares	25%	25%	0%
Property	17%	17%	0%
Fixed Interest	13%	13%	0%
Cash	2%	2%	0%
Other	0%	0%	0%

As an industry standard, a variance of 10% within a particular asset class is allowed to cater for individual circumstances, economic events and fund manager asset allocation decisions. Variations outside of this range may be appropriate in certain circumstances.

Colonial FirstChoice Management Fee

Colonial FirstChoice charges a Management Expense Ratio to cover their administration costs and the associated costs of managing your funds. Based on your current portfolio value, we have provided an estimation of the costs you will pay.

Christos

Colonial FirstState FirstChoice Investments	MER %	Amount invested ① \$	Estimated fee \$
BT Wholesale Core Australian Share	1.04%	\$6,745	\$70
Fidelity Wholesale Australian Equities	1.10%	\$6,745	\$74
Perennial Wholesale Value Australian Share	1.04%	\$6,745	\$70
CFS Wholesale Small Companies - Core	1.14%	\$6,132	\$70
BT Core Wholesale Global Share Fund (AQR)	1.14%	\$6,132	\$70
Platinum Wholesale International	1.36%	\$5,518	\$75
MFS Wholesale Global Equity	1.30%	\$4,905	\$64
BT Wholesale Property Investment	1.10%	\$3,066	\$34
CFS Wholesale Global Listed Infrastructure Securities	1.27%	\$3,679	\$47
CFS WS Colliers Global Property Securities	1.05%	\$3,679	\$39
FirstChoice Wholesale Fixed Interest	0.80%	\$7,971	\$64
CFS Wholesale Cash Fund	0.43%	\$1,226	\$5
Total ongoing fees ①	1.15%	\$61,315	\$703

- ① Colonial FirstChoice's Management Fee is calculated on the value of your total portfolio. As such we have used your current portfolio to estimate your annual ongoing fee.

Please note that there is an additional adviser service fee of 0.60% that is paid by you.

Planning – Investment Recommendations

A comparison of the fee structure of the two funds is contained below:

Type of Fee or Cost	Colonial First State Employer Fund	Colonial First State Wholesale Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	\$60 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs - Current – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.81% p.a.	1.15% p.a.
Annual average cost - Total \$61,315 investment	\$1,170 p.a.	\$1,073
Amount of Insurance Cover – Life, TPD and Income Protection held inside super	\$596,489 Death/TPD	n/a*
Cost of above insurance cover per annum.	\$593.04 p.a.	n/a*

*Pending recommendations and subsequent agreement on putting appropriate replacement cover in place.

Colonial FirstChoice Wholesale Investments

The FirstChoice Investments is a multi-manager investment solution which combines wide investment choice with a competitive and simple fee structure, backed up by a high standard of service support from Colonial First State.

A minimum total investment of \$5,000 (\$1,500 for super) is required to establish an account in FirstChoice Investments. A \$1,000 minimum initial balance is required if a regular investment plan is set up at commencement of the account. The minimum regular investment plan amount is \$100 per month.

Reasons and Benefits

The major features of the Colonial FirstChoice Investments are as follows:

Sector Specific Diversification

A strong range of investment options with access to more than one specialist manager within each asset class. This approach captures the competitive advantages of each manager. We anticipate this will provide higher returns than can be obtained from using diversified funds with, say, only one fund manager.

Simplicity

Consolidated reporting from Colonial First State.

Ease of Management

Automatic investment re-balancing and switching to help you easily and conveniently keep your investment strategies on track.

- We recommend that annual automatic rebalancing is elected.

Highly competitive and simple to understand fee structure

- No entry fee applies to this investment however, with your agreement; your Financial Adviser may wish to charge a one off fee for upfront costs.
- You can agree with your Financial Adviser to have an ongoing Adviser Service Fee for advice paid directly from your investment. The ongoing fee will be deducted monthly from your investment options.
 - **A 0.60% p.a. Adviser Service fee will apply.**
- No switching fees or exit fees apply to this investment.

Self-Managed Superannuation Fund (SMSF) Vs Master Trust

SMSF

A super fund is generally a self-managed super fund (SMSF) if:

- It has 4 or less members;
- No member of the fund is an employee of another member of the fund (unless they are related);
- Each member is a trustee or director of the corporate trustee, and
- No trustee of the fund receives any remuneration for their services as a trustee.

Since you are over 18 years of age, not under a legal disability and have not been disqualified*, you are eligible to be a trustee.

There are several detailed steps involved in establishing and managing an SMSF. Briefly, as trustees of an SMSF you are required to:

1. Establish your fund which includes appointing trustees (ie yourself as sole director of a corporate trustee) and make an irrevocable election to be regulated, obtain a tax file number and Australian business number. **Lakeside Accountants Pty Ltd will assist you in completing this step.**
2. Comply with all legislative requirements at all times – especially the SIS legislation which is the principle piece of legislation regulating super funds.
3. Comply with the sole purpose test. The object of this test is to ensure that SMSFs are maintained for the purpose of providing benefits to members upon their retirement, or their dependants if one of you dies before retirement.
4. Accept contributions in accordance with the SIS legislation and your trust deed.
5. Manage your funds investments which includes having an investment strategy and complying with the investment restrictions associated with SMSFs. For example, as trustee, you are prohibited from lending money or providing direct or indirect financial assistance* from the fund to a member or a member's relative.
6. Pay benefits in accordance with SIS legislation. In order to do this you must understand when benefits can be paid to members and in what form (i.e. as a lump sum, and or income stream).
7. Meet lodgement and administrative obligations of which there are several including annual income tax and regulatory returns as well as record keeping requirements.
8. You must appoint an approved auditor to audit the operations of the fund each year or part year the fund is in existence. The auditor is required to assess the fund's overall compliance with SIS legislation and the fund's financial statements.

** This includes the provision of credit.*

To protect your retirement income the Australian Taxation Office (ATO) regulates SMSFs to ensure they comply with SIS legislation. Failure to comply is known as a 'contravention' of the applicable legislation and may result in the ATO taking compliance action against you.

Accordingly, it is vital that you understand and conduct your obligations as trustees of the fund to the utmost of your abilities.

Advantages of having an SMSF:

- Flexibility and control of your investment decisions
- The ability to purchase property and assets that are used as an investment, and owned by the SMSF.

Disadvantages of having an SMSF:

- Running an SMSF can be expensive if you don't manage all costs, fees and charges of the products and services you use.

Superannuation Master Trusts

A superannuation master trust is a superannuation structure that allows an investor to hold a portfolio of managed funds under the one umbrella. It provides centralised reporting and is often used by financial advisers as a convenient and simple way to manage their client's portfolio.

Master trusts typically have the following features:

- Investments are held by a trustee in its name, on behalf of the investor
- The value of an investor's account is determined by the trustee based on the value of the underlying investments
- All fees and some taxes are bundled into the unit price for each investment and allocated to the investor
- Income from the underlying assets is paid to the master trust and then distributed to members
- Franking credits are incorporated into the unit price of the underlying investment

Benefits:

- Master trusts are beneficial for those who have a large sum of money to invest and want the convenience of one report for multiple investments.
- Access to wholesale funds - You can access a wide range of wholesale funds that you may not be able to access individually.
- Once you commence an income stream, the earnings on your superannuation funds used in the purchase price of the pension become tax free. This remains the case for the life of the pension.
- You will receive consolidated reporting on performance.

Risks:

- The performance of the investments within a master trust is subject to the performance of the market in which they are invested.

Self-Managed Superannuation Funds – Key Considerations

The Role a Trust Deed Plays in a SMSF.

A SMSF cannot exist without a trust deed. The trust deed is a legal document that establishes the fund and provides the rules for its day to day operations and member entitlements. The trust deed should include rules that:

- Control who can be a trustee and who cannot be a trustee, what the trustee can do and what the trustee can't do, how the trustee can retire and a new trustee appointed, what the trustee can be paid and so on
- Describe who can be a member
- Describe what contributions can be accepted and from whom
- Describe the lump sum and pension benefits, and how they are calculated, on retirement, on death or permanent disability, or on serious financial hardship
- Describe how the decisions of the trustee should be made
- Describe the types and rules for death benefit nominations
- Facilitate the preparation and implementation of an investment strategy
- Allow members access to all relevant fund documents

The SMSF Investment Objective

- The sole purpose of the fund is to provide a lump sum or pension benefits upon retirement or death.
- The investment objective of the fund is to provide real, medium to longer term growth in the value of the assets held by the fund either through capital growth in the value of existing investments or by the reinvestment of income generated by existing investments.

Other Considerations of the SMSF

Trustee responsibilities

Christos, as the trustee of your SMSF you are responsible for compliance with a range of investment related requirements including the investment strategy covenant and various restrictions on investments and benefits including those related to:

- lending to members or their relatives
- *acquiring assets from members or their relatives (as mentioned below)
- in-house assets (for example, a loan from the fund to a related company or trust)
- arm's-length transactions (for example, a fair market value must be paid if the fund acquires listed shares from a member or relative)
- borrowing by the fund
- member reporting obligations (including annual statements)
- contribution acceptance standards
- benefit payment standards.

****A superannuation fund may only purchase certain types of investments (at market value) from you or an associate, such as a relative. These include shares listed in Australia or on an approved overseas stock exchange, units in retail unit trusts and business real property used wholly for***

any commercial business. The transfer of virtually all other assets that a member already owns into the fund may incur fines or criminal prosecution.

The SMSF Investment Strategy

As per relevant legislation under Section 52(2) (f) of the SIS Act, an investment strategy should be formulated by the trustees. This is the fund's plan to make, hold and realise fund assets. This strategy should be consistent with your investment objectives specific to the fund. The investment strategy should take into account certain elements as set down by the aforementioned legislation:

- diversification
- risk and return (refer to risk profile section)
- liquidity and cashflow
- Expression of investment strategy – strategy must be clear and unambiguous.
- Trustee Minutes – minutes must be taken to demonstrate that relevant issues relating to statutory and non statutory matters have been considered.
- Giving Effect to Strategy – implementing the investment strategy.
- Fund Reserves – Reserving policy which reduces volatility of returns and provides investment performance smoothing for the fund. In good performance years the reserves are increased and in underperforming years funds are taken from the reserve to prop up lacklustre performance in the fund.
- Segregation of Fund Assets – Assets of an SMSF can be maintained at fund level or allocated to individual members. Returns are also allocated in this instance.

In addition to diversification across asset classes, in order to manage risk, the fund will seek to diversify the portfolio across individual assets, sectors within asset classes, and investment managers.

The fund's investments may include:

- direct equities, stocks and derivatives and include the participation in dividend reinvestment programs, rights issues and the like
- property trusts and associated investments, direct residential, industrial or commercial property investment
- managed investments and associated products
- bank and other financial institution securities including term deposits and debentures
- secured and unsecured notes and bonds
- any other investment which would not prejudice Government Approval of the Fund.

The liquidity and cashflow of the fund and its investments will be managed to ensure that the fund is able to pay all expenses, tax and member benefits as and when they are likely to become due.

Example SMSF Investment Strategy

Investment objectives

Long term (5 – 7 years)

- To enhance the value of the members savings, and
- To achieve a long term return of at least inflation (as measured by CPI) plus 3.5% per annum over rolling 5 year periods, which historically equates to the real rate of return which may be expected from a balanced portfolio.

Short term (2 years or less)

- To ensure the fund provides positive returns in most financial years, and
- To ensure sufficient liquidity to meet operating expenses and taxation liabilities as they fall due.

Investment strategy

The investment strategy is the method to be implemented in order for the trustees to achieve the investment objective. The investment strategy of the trustee is to invest the fund's assets in the following portfolios:

Portfolio	Range	Benchmark Growth
Australian shares	40% - 45%	43%
International shares	22% – 27%	25%
Property	15% - 20%	17%
Fixed interest	10% - 15%	13%
Cash	0% - 5%	2%

These ranges are purely indicative and the trustee may vary the allocations at any time if satisfied that conditions warrant such a change. In arriving at the investment strategy, the trustees considered the following:

Diversification of investment strategy

You should consider the diversification of the fund's investments, and be of the opinion that the strategy is appropriate given the size of the fund in terms of both investments and the number of members.

Liquidity of the investment strategy

You must be of the opinion that the investment strategy is structured in such a manner so that the fund is sufficiently liquid to discharge its current and future liabilities.

Short-term liabilities include lump sum payments, tax liabilities, annual return fees, accounting fees and audit fees.

JB Hi-Fi Shares

You have stated that you part-own 6,451 JB Hi-Fi shares and that:

- These are owned jointly by yourself, your brother and your mother (i.e. your ownership is 1/3rd)
- The shares were purchased in 2004 for \$1.50 per share
- You wish to sell these shares as you believe there will be limited capital appreciation
- Upon sale, the funds will be jointly held between yourself and your brother and you wish to combine the proceeds and invest together.

Capital Gains Tax (CGT) Implications

Based on a current share price of \$18.16 I have estimated the potential CGT ramifications for you upon sale of these shares. This estimation is calculated below:

Market value	\$ 117,150	6,451 shares @ \$18.16
Less Cost Base	<u>(\$ 9,676)</u>	6,451 shares @\$1.50
Capital Gain	\$ 107,474	

The Capital Gain attributable to you would be 1/3rd of this as you are a 1/3rd owner of the shares. This equates to **\$35,825** (1/3rd of \$107,474).

The discount percentage to be applied to individuals is **50%**. As the CGT event would transpire in your individual name and the asset has been held for more than 12 months, then you are entitled to the 50% reduction.

Capital Gain	\$35,825.00
Less 50% discount	<u>(\$17,912.50)</u>
Assessable Capital Gain	\$17,912.50

The Assessable Capital Gain will be added to your taxable income and then taxed at your marginal tax rate. Assuming your gross salary is \$100,000 you will fall into the 37% tax bracket (plus 2% Medicare Levy). Therefore, the tax payable on the Assessable Capital Gain is estimated to be:

$$\$17,912.50 \times 39\% = \mathbf{\$6,986}$$

Please note: this is the estimated tax payable by you personally and does not reflect the tax that may be paid by your brother or your mother as we are not privy to their personal circumstances and income.

Historical Income

Over the period you have owned these **6,451 shares**, they have provided the following income via fully franked dividends:

Year		Total Payment
2004 Interim	\$0.036	
2004 Final	\$0.036	
2004 Total	\$0.072	\$464
2005 Interim	\$0.036	
2005 Final	\$0.036	
2005 Total	\$0.072	\$464
2006 Interim	\$0.036	
2006 Final	\$0.036	
2006 Total	\$0.072	\$464
2007 Interim	\$0.04	
2007 Final	\$0.05	
2007 Total	\$0.09	\$581
2008 Interim	\$0.10	
2008 Final	\$0.16	
2008 Total	\$0.26	\$1,677
2009 Interim	\$0.15	
2009 Final	\$0.29	
2009 Total	\$0.44	\$2,838
2010 Interim	\$0.33	
2010 Final	\$0.33	
2010 Total	\$0.66	\$4,258
2011 Interim	\$0.48	
2011 Final	\$0.29	
2011 Total	\$0.77	\$4,967
2012 Interim	\$0.49	
2012 Final	\$0.16	
2012 Total	\$0.65	\$4,193
2013 Interim	\$0.50	
2013 Final	\$0.22	
2013 Total	\$0.72	\$4,645
2014 Interim	\$0.55	
2014 Final	\$0.29	
2014 Total	\$0.84	\$5,419
2015 Interim	\$0.59	
2015 Final	\$0.31	
2015 Total	\$0.90	\$5,806

Planning – Investment Recommendations

Over the past 5 years, the income generated has averaged \$5,006 p.a. which equated to an income return of **4.27% p.a.** based on a current capital value of \$117,150.

Alternative Options

You have stated that you wish to sell down these shares and invest these funds with your brother. Capital appreciation is your primary aim, however you would also like to achieve some form of passive income. Assuming total funds of \$117,150 (current estimated value), suggested alternatives (either individually or a combination) are as follows:

Managed Funds

For period ended 30th September 2015

Investment	Return	1 year (%)	3 years (%)	5 years (%)	10 years (%)	Since Inception (%)
Australian Shares						
BT Core Australian Share	Distribution	11.08	6.47	5.01	5.75	5.16
	Growth	-7.89	5.15	2.13	-0.02	2.41
	Total	3.19	11.62	7.14	5.74	7.57
Fidelity Australian Equities	Distribution	3.15	3.21	3.18	-	3.14
	Growth	-0.72	8.38	5.20	-	6.31
	Total	2.43	11.59	8.38	-	9.46
Perennial Value Australian Share	Distribution	3.18	3.72	3.67	4.77	4.66
	Growth	-4.25	6.66	1.73	0.24	2.97
	Total	-1.07	10.39	5.40	5.01	7.63
International Shares						
BT Core Wholesale Global Share Fund (AQR)	Distribution	10.74	3.92	2.20	1.36	1.11
	Growth	8.95	20.88	14.06	4.00	1.92
	Total	19.69	24.80	16.27	5.36	3.02
Platinum Wholesale International*	Distribution	17.08	6.19	3.34	5.50	5.29
	Growth	3.00	17.96	7.11	3.50	4.68
	Total	20.08	24.15	10.44	9.00	9.97
Perpetual Wholesale International Share Fund	Distribution	28.85	11.68	7.21	4.51	3.62
	Growth	-10.22	9.61	6.10	0.00	-1.21
	Total	78.63	21.29	13.31	4.51	2.42
MFS Wholesale Global Equity	Distribution	2.19	1.12	0.86	-	1.03
	Growth	18.91	23.77	16.19	-	13.33
	Total	21.11	24.89	17.06	-	14.36
Property						
BT Wholesale Property Investment	Distribution	3.01	3.74	3.84	6.67	7.40
	Growth	15.68	11.34	9.25	-3.49	-1.33
	Total	18.69	15.09	13.09	3.18	6.07

Planning – Investment Recommendations

CFS Wholesale Global Listed Infrastructure Securities	Distribution	28.49	18.46	13.84	-	9.43
	Growth	-20.54	-3.05	0.35	-	-2.42
	Total	7.96	15.41	14.19	-	7.01
CFS WS Colliers Global Property Securities	Distribution	1.70	1.14	0.69	4.30	5.01
	Growth	13.96	11.85	12.57	1.80	5.61
	Total	15.66	13.00	13.25	6.10	10.62
Fixed Interest						
FirstChoice Wholesale Fixed Interest	Distribution	5.45	4.91	6.00	5.65	6.24
	Growth	-0.11	0.10	0.46	0.56	0.18
	Total	5.34	5.00	6.46	6.21	6.42

* Figures only available to 30th June 2015 for the Platinum International Fund.

Direct Shares

We are not authorised to provide Direct Share advice under our Financial Services Licence. Should you wish to invest in Direct Equities, we shall direct you to a licenced Broker.

Suggested Strategy

Should you purchase a property to live in (residential property), we suggest that the funds from the sale of the shares be used to reduce the debt against this property as this will be non-deductible debt. An illustration of the benefit of using your share of the sale proceeds (\$58,575) in this manner is detailed below:

Net cost of non-deductible debt of \$58,575 (assuming an interest rate of 5.0%) = **\$2,929 p.a.**

Should you use the funds to reduce your non-deductible debt and then re-borrow the funds for investment purposes:

Gross cost of deductible debt of \$58,575	=	\$2,929
<u>Less:</u> tax saving via deduction (\$2,929 @ tax rate of 39% incl. medicare levy)	=	<u>\$1,142</u>
NET COST OF DEDUCTIBLE DEBT		\$1,787 p.a.

Wealth Accumulation

You have stated that you would like to receive advice as to an investment portfolio that meets your goals of tax effectiveness, medium to long investment term, aimed at wealth accumulation, that does not adversely impact your cash flow.

Types of investments that may be considered utilising borrowed funds include:

- Direct property
- Direct Australian equities (shares)
- A portfolio of managed funds
- A mix of the above

You will shortly receive \$100,000 and you have stated that you must use this to assist with the purchase of a property. Borrowing to invest in property may assist in achieving your goals as:

- The interest payable is tax deductible;
- The investment has an unfixed term therefore adding flexibility in realising capital gains;
- The investment has unlimited upside in relation to capital gain

Property Planning

Christos, we have taken the liberty of providing projections based on a number of scenarios. The three core scenarios are as follows;

Scenario 1

- Purchase an **investment** property for \$450,000 + Stamp Duty (\$19,000)
- Total funds required for the purchase are \$469,000
- Banks will lend up to 80% of the property value (\$450,000 @ 80%) = \$360,000
- Deposit of \$109,000 to be generated via the initial \$100,000 and \$9,000 of the JB Hi-Fi share sale proceeds
- Remaining JB Hi-Fi share sale proceeds to be invested in a managed fund
- The additional \$30,000 due to you after 2 years is added to the managed fund investment

Scenario 2

- Purchase a **residential** property for \$450,000 + Stamp Duty (\$19,000)
- Total funds required for the purchase are \$469,000
- Banks will lend up to 80% of the property value (\$450,000 @ 80%) = \$360,000
- Deposit of \$109,000 to be generated via the initial \$100,000 and \$9,000 of the JB Hi-Fi share sale proceeds
- Remaining JB Hi-Fi share sale proceeds to be invested in a managed fund
- The additional \$30,000 due to you after 2 years is added to the managed fund investment

Scenario 3

- Purchase a **residential** property for \$450,000 + Stamp Duty (\$19,000)
- Total funds required for the purchase are \$469,000
- Banks will lend up to 80% of the property value (\$450,000 @ 80%) = \$360,000
- The initial \$100,000 and **all** of the JB Hi-Fi share sale proceeds (\$58,575) are used as a deposit
- \$49,575 is re-borrowed against the property for investment purposes (managed funds)
- The additional \$30,000 due to you after 2 years is used to reduce debt and then re-borrowed to add to the initial investment (managed funds)

Scenario 4

- Purchase a **residential** property for \$450,000 + Stamp Duty (\$19,000)
- Total funds required for the purchase are \$469,000
- Banks will lend up to 80% of the property value (\$450,000 @ 80%) = \$360,000
- The initial \$100,000 and **all** of the JB Hi-Fi share sale proceeds (\$58,575) are used as a deposit
- The additional \$30,000 due to you after 2 years is used to reduce debt

Planning – Investment Recommendations

Under each of these scenarios we have calculated your projected capital position based on the following assumptions:

- Interest only repayments are made on any loans
- Interest rate on any loan is 5.0% p.a.
- Capital value of properties increases by 6.0% p.a.
- Capital value of managed funds increase by 7.0% p.a.
- Rental income and rental costs increase by 3.0% p.a. in line with inflation

A summary of these projections is detailed in the following table:

		Net property position	“Bank” equity available	Value of other investment (e.g. managed funds)	Total net asset position	High level net cost (p.a.)
Scenario 1	5 years	\$242,202	\$121,761	\$106,283	\$348,485	\$14,131
	10 years	\$445,881	\$284,705	\$149,067	\$594,948	\$14,633
	15 years	\$718,451	\$502,761	\$209,074	\$927,525	\$15,215
	20 years	\$1,083,211	\$794,569	\$293,238	\$1,376,449	\$15,890
Scenario 2	5 years	\$242,202	\$121,761	\$106,283	\$348,485	\$18,000
	10 years	\$445,881	\$284,705	\$149,067	\$594,948	\$18,000
	15 years	\$718,451	\$502,761	\$209,074	\$927,525	\$18,000
	20 years	\$1,083,211	\$794,569	\$293,238	\$1,376,449	\$18,000
Scenario 3	5 years	\$242,202	\$121,761	\$106,283	\$348,485	\$16,448
	10 years	\$445,881	\$284,705	\$149,067	\$594,948	\$16,448
	15 years	\$718,451	\$502,761	\$209,074	\$927,525	\$16,448
	20 years	\$1,083,211	\$794,569	\$293,238	\$1,376,449	\$16,448
Scenario 4	5 years	\$321,777	\$201,336	\$0	\$321,777	\$14,021
	10 years	\$525,456	\$364,280	\$0	\$525,456	\$14,021
	15 years	\$798,026	\$582,336	\$0	\$798,026	\$14,021
	20 years	\$1,162,786	\$874,144	\$0	\$1,162,786	\$14,021

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

Retirement Planning

Christos, we have based our retirement capital projections based on an industry general rule of thumb that you may require approximately 80% of your net salary (approximately \$60,000) in retirement. To assist with retirement planning, we have calculated projected superannuation balance at age 65:

Retirement capital estimates at age 65

	Initial retirement capital required	Projected balance based on current situation	Surplus / Shortfall
Christos	\$1,087,000	\$649,000	(\$438,000)

Notes:

The estimated shortfalls do not include the value or any growth on your non-superannuation assets.

Future Strategy - Borrowing in a Self-Managed Superannuation Fund (SMSF)

Background

From 24 September 2007 the general prohibition on superannuation funds borrowing was relaxed to allow super funds, including SMSFs, to borrow, to purchase any asset they would otherwise be permitted to acquire (subject to certain strict instalment warrant-like conditions).

How do these rules work?

These rules allow a super fund trustee to borrow money or to maintain a borrowing of money, under an arrangement where:

- the borrowing is applied for the acquisition of an asset other than one the super fund trustee would be prohibited from acquiring
- the asset is held on trust for the super fund so that the trustee acquires the beneficial interest in the asset (ie a trust is established over the asset)
- the super fund trustee has the right to acquire legal ownership of the asset after making one or more payments, and
- the rights of the lender against the super fund trustee in relation to the borrowing (and any related charges) are limited to the rights relating to the asset

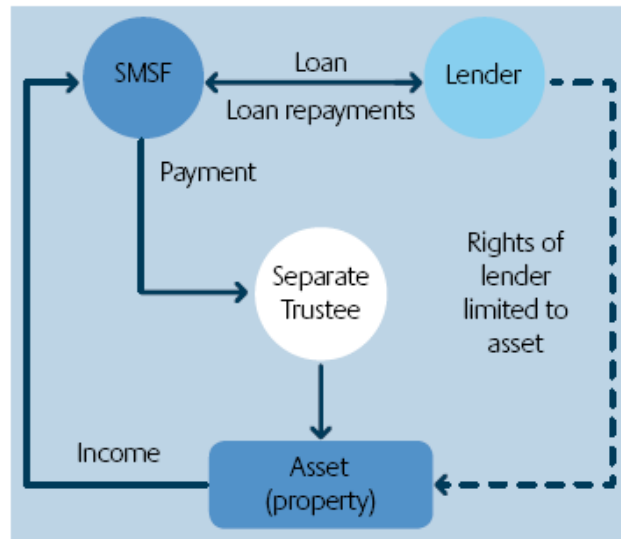
Who can make a loan to a Fund; can it be a member or a bank?

There are no restrictions on who can make a loan to a Fund. Therefore a member, a bank or any other entity could make a loan to a Fund provided the loan complies with the Superannuation Industry Supervision Act (SISA) borrowing Requirements.

Trust arrangements

A requirement of the borrowing exemption is that the asset must be held on trust for the SMSF so that the SMSF acquires the beneficial interest in the asset. That is, the SMSF will not be permitted to directly hold the legal ownership of the asset until it has paid off the loan.

A trust relationship must be established to satisfy the borrowing rules. This could be achieved by the SMSF entering into a trust relationship with another entity, such as a member of the fund, to separate the legal and beneficial ownership of an asset. In this case, the entity holding the legal ownership of the asset would be the trustee, while the SMSF would be the beneficiary and hold the beneficial ownership of the asset. As the beneficial owner of the asset, the SMSF would be entitled to all the income from the asset and is able to instruct the separate trustee to transfer the ownership of the asset to the SMSF on repayment of the loan.



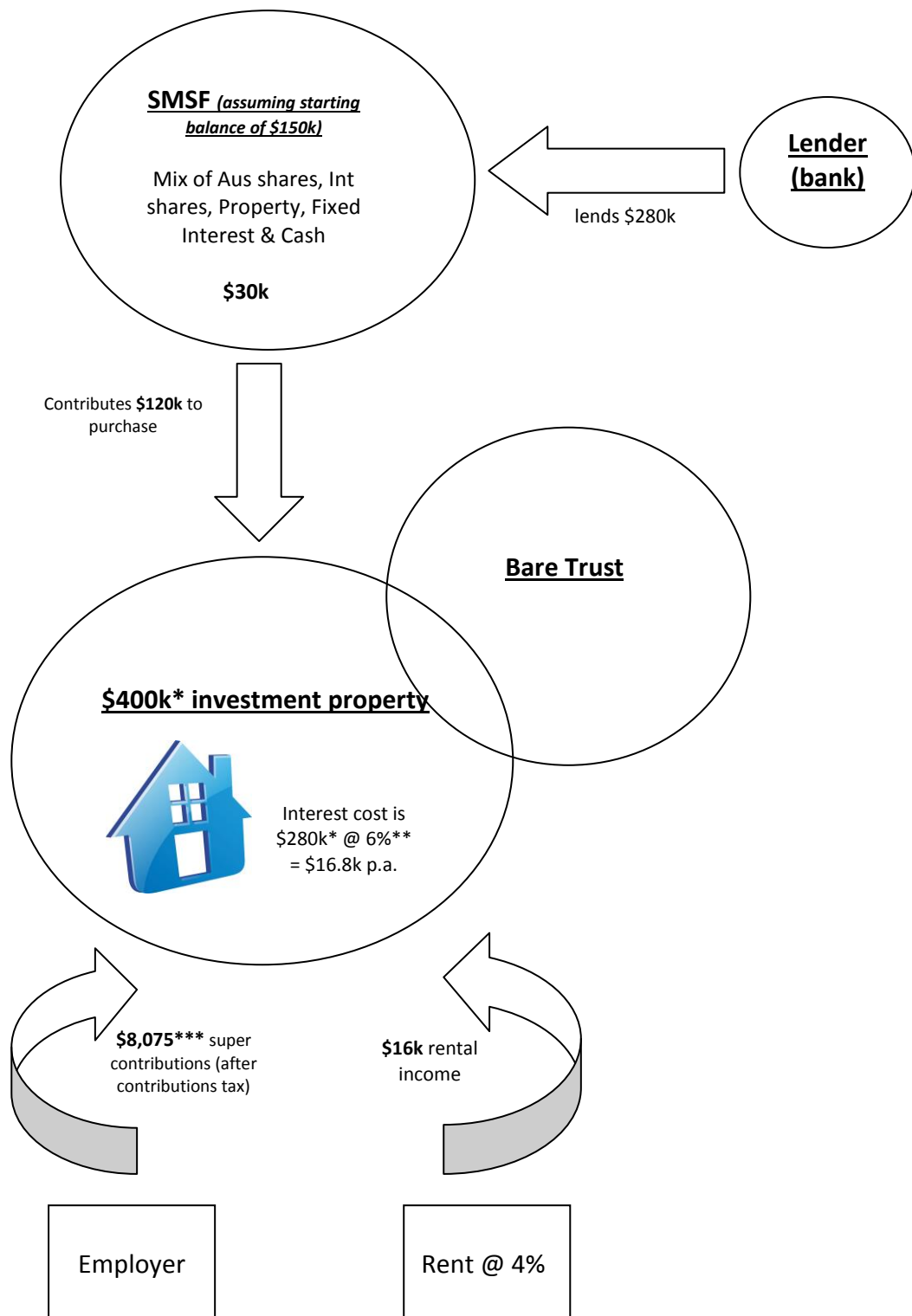
Loan requirements and practical issues

In order for the borrowing to be allowable the loan must be on a limited recourse basis only. That is, the rights of the lender against the SMSF trustee for any default on the borrowing (and any additional charges) must be limited to the rights relating to the asset that was purchased with the borrowing. These rights may include taking possession and disposing of the asset. For example, if a SMSF borrowed money to purchase an asset, such as a commercial property, the rights of the lender against the SMSF must be limited to the rights relating to that particular asset (or any replacement asset). If the SMSF then defaulted, the lender's recourse would only be against that asset. If there was any shortfall on the sale of the property that loss would be borne by the lender.

From a practical perspective the requirement for a limited recourse loan will effectively limit the amount a SMSF trustee can borrow. That is, some lenders may only be willing to lend up to a certain Loan to Value Ratio (LVR) on certain asset classes, such as property. For example, a bank lender may only be willing to lend on direct property and only up to a maximum 60% LVR.

The interest rate for a limited recourse loan may also be higher to reflect the higher risk to the lender. This may also limit a SMSF's ability to borrow in many circumstances. For example, a lender may be willing to go up to an 80% LVR on an asset but the interest rate may be so high as to make the loan so expensive, which results in losses to the SMSF.

How borrowing may work in a SMSF – Potential Strategy



* A purchase of \$400k has been used purely for illustrative purposes. This has been documented as a potential strategy as you have stated that you would like to explore property as an asset class and learn more about the tax effective ownership structures.

** The interest rate used is the current variable rate available plus a 0.5% buffer.

*** Based on current employer contributions.

Benefits of borrowing within super to increase investment exposure:

If we use the example on the previous page, the potential benefits may be demonstrated as follows:

Future Capital Gains Tax (CGT) implications upon sale of the property

Ownership	Purchase Price	Sale Price	Capital Gain	Tax applicable on assessable gain	Tax Payable
Pty Ltd Company	\$400,000	\$800,000	\$400,000	100%	\$120,000
Own Name	\$400,000	\$800,000	\$400,000	50%	\$98,000*
Trust	\$400,000	\$800,000	\$400,000	50%	\$98,000*
SMSF – Accumulation Phase	\$400,000	\$800,000	\$400,000	2/3 ^{rds} of 15%	\$40,000
SMSF – Pension Phase	\$400,000	\$800,000	\$400,000	0%	\$0

* Assumes top marginal tax rate.

Increase in future balance of the SMSF

	Super balance at start of period	Debt	Super balance at end of period
No borrowings	\$150,000	Nil	\$300,000
SMSF borrows \$280k	\$430,000	\$280,000	\$580,000

Notes:

- Example does not take into consideration any future superannuation contributions.
- Assumption of funds doubling over the period has been used.

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

You currently have the following cover in place:

Life Insurance:	\$596,489
TPD:	\$596,489
Trauma:	\$0
Income Protection:	\$0 per annum

Our Insurance Adviser – Mark Butler – has conducted a review of your existing cover and will provide recommendations to you via a separate report.

Estate Planning

Although considerable emphasis is placed on wealth creation and protection, a third vital aspect of your financial strategy is the control of the manner in which your wealth will be distributed after your death.

The expression “Estate planning” represents the concept of the planning and documentation of your wishes for the distribution of your wealth following death, whether the assets are held personally or controlled by related entities such as trusts or companies.

Estate planning is a specialised area, and it is important that you obtain professional advice in relation to all areas of your estate plan. However we outline below some of the issues you should consider in designing your estate plan.

Wills and Testamentary Trusts

A Will is the first step in ensuring that the distribution of your estate is actioned in accordance with your wishes. If you die without a Will (intestate), it may be that a court will control both the manner of distribution of your estate and the persons to whom your estate is distributed, and this can cause unnecessary distress.

You have advised us you do not have a Will.

Recommendation:

- **We recommend you consult our legal department, Lakeside Lawyers Pty Ltd, to ensure one is prepared as soon as possible.**

It is important to ensure your Wills:

- Nominates executors (and substitute executors) who are likely to survive you and who clearly understand your wishes.
- Nominates beneficiaries in relation to every segment of your estate and nominates alternative beneficiaries should your primary beneficiaries predecease you.
- Bequeaths monetary value or a percentage of your estate rather than a specific asset, as there is the risk that an asset may not be in existence at the time of distribution of the estate.
- Includes provision for the establishment of a testamentary trust, which can be a tax effective tool for distributing your estate.

Benefits:

- Peace of mind, knowing all your wishes are detailed to be carried out, and plans articulated for your immediate family to be adequately provided for in the event of your death.
- If your Wills incorporate a testamentary trust, your assets would pass into a discretionary trust (or multiple trusts) and be held for the benefit of your beneficiaries, (rather than directly by them).
- This could be determined on an annual basis having regard to each beneficiary's personal income and taxation circumstances (importantly, income distributed from a testamentary trust to minors is taxed at normal adult marginal tax rates), as well as family circumstances (assets held within a testamentary trust may provide some protection in the event of family breakdown or bankruptcy).

Non Estate Assets

It is important your estate planning arrangements incorporate your entire asset base.

Recommendation:

- **We recommend you consult an approved legal practitioner. We have an arrangement with Lakeside Lawyers Pty Ltd who will be able to assist you with this.**

Although a Will constitutes a vital part of your estate planning arrangements, not all of your assets are automatically subject to the provisions of a Will. Examples of such 'assets' are as follows:

- Superannuation assets – the Trustee of a superannuation fund is required to distribute your superannuation monies (including any life insurance benefits paid as a result of the death of the member) in accordance with the Trust Deed. You usually have the option of informing the Trustee of your preferences in relation to the distribution of your funds, but this may or may not be binding on the Trustee.
- Jointly held assets – if assets are held as 'joint tenants', then upon the death of one of the owners the asset automatically passes in full to the other owner (no matter what is said in the Will of the deceased co-owner). On the other hand, assets held as 'tenants in common' are able to be disposed of as part of a Will.
- Life insurance policies – depending on the ownership of the policy, benefits can be paid to the following - the deceased's estate and therefore distributed through their Will (when the owner of the policy is also the insured person) - a person who has been nominated as the beneficiary of a policy by the deceased owner (in which case the beneficiary automatically receives the proceeds of the policy) - or any third party who owns the policy.
- Assets owned by a Trust – these assets are legally owned by the Trustee of the Trust and therefore are not able to be dealt with through a person's Will.

(Note: In recent times, the use of Trusts as an estate planning vehicle has become wide spread and your solicitor or other business adviser should be consulted if you wish to

exercise a measure of control over the way in which Trust assets are managed or distributed. For example if a company acts as trustee for a Trust, you may retain an interest in the company and therefore the trust by owning shares in that company.)

- Assets owned by a company – only the deceased's shares in the company may be dealt with through their Will.

Powers of Attorney

This element of your estate plan is designed to be implemented prior to your death so that your affairs can be conducted appropriately.

You have advised us you do not have Powers of Attorney.

Recommendation:

- **Accordingly we recommend you consult our legal department, Lakeside Lawyers Pty Ltd, to ensure they are prepared as soon as possible.**

There are three 'standard' types of Power of Attorney:

- A general Power of Attorney which can provide the donee with restricted or unrestricted authority over the donor's financial affairs (but not their health care). Such a policy lapses if the donor loses mental capacity.
- An enduring Power of Attorney which provides the donee with authority over the donor's financial affairs (but not their health care) until they die (i.e. it extends beyond any loss of mental capacity).
- An enduring medical Power of Attorney which provides the donee with authority over the medical needs of the donor if the donor himself is unable to make such decisions (whether temporarily or permanently).

Note 1 - A Power of Attorney may only be granted by someone who is over the age of 18 and who is of sound mind at the time of the grant and capable of fully understanding the nature and purpose of the document they are signing.

Note 2 - The attorney is not able to do anything illegal while operating under a Power of Attorney, nor is he/she able to sign a Will on behalf of the donor, or to transfer the Power of Attorney to someone else unless authorised to do so.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$2,500 (plus GST), which will be deducted from your superannuation fund.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

There is an entry fee payable of which the break-up of the fee is disclosed as follows:

		Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
Investment Details	Amount Invested	(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Super	\$61,315	Flat Fee	\$2,750	Flat Fee	\$2,500	0.60	\$368pa
Total	\$61,315		\$2,750		\$2,500		\$368pa

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non Superannuation Products

Yes, when making non superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Summary

Your Statement of Advice

In preparing this Statement of Advice we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements
- Contact us if you have any questions
- Tell us immediately if any information is incorrect
- Retain a copy for your records

Authority to Proceed

I, Christos Kyriakides, of
507E/11 Flockhart Street
ABBOTSFORD VIC 3126

State that:

I have read and understood the Financial Plan presented to me by **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) from Pareto Group Pty Ltd, and authorise him to proceed with the recommendations as outlined below:

Investment	Amount
Colonial FirstChoice Wholesale Super	\$61,315

All fees and charges have been explained to me.

I authorise **Andrew Lord** B Bus (Acc), Dip FS (Fin Plan) to act in his capacity as our Financial Adviser regarding this investment and to act on our instructions provided by (tick whichever is applicable):

- ☐ Facsimile
- ☐ Email
- ☐ Writing

I acknowledge that:

- I have received and read a Financial Services Guide.
 - I have provided all information to the best of my knowledge for the preparation of this Statement of Advice.
 - My adviser is not a taxation adviser, and estimates of tax positions are estimates only. We should seek advice from a registered tax agent for taxation advice.
- ☐ I accept the recommendations made in this Report and give authority to Pareto Group Pty Ltd ABN 11 155 278 078 to proceed with the implementation of those recommendations.

Modifications to recommendations requested by client

Signed: _____
Christos Kyriakides

_____/_____/_____
Date

Signed: _____
Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)

_____/_____/_____
Date

Appendix – Property Projections
